

Private Market Deal Report

PRIVATE EQUITY

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Industry Landscape

Overview: The North American breakfast cereal market is projected to grow from \$16.56B in 2024 to \$22.47B by 2034 (3.10% CAGR). As the world's largest cereal market, North America is expected to maintain 82.47% of global revenue, supported in part by elevated COVID-era demand.

Capabilities: Rising demand for convenient, nutritional meals continues to expand the North American cereal market, positioning brands with low-sugar, high-protein, and whole-grain options to capture shifting preferences.

Risks: Since 2015, about 40% of major North American cereal brands have reformulated high-sugar SKUs, while recent grain, rice, and oat tariffs add further margin pressure.

Target Profile

WK Kellogg Co is a leading North American cereal company created from the 2023 Kellogg split. The company produces and markets a portfolio of iconic cereal brands, generating revenue through branded retail sales.

The business operates primarily in the U.S., Canada, and the Caribbean, with a manufacturing footprint spanning six production facilities across the U.S., Canada, and Mexico.

WK Kellogg's brands include the "Core 6" – Frosted Flakes, Special K, Raisin Bran, Rice Krispies, Frosted Mini-Wheats, and Froot Loops – along with a broader portfolio.

Target Post Vision

WK Kellogg aims to stabilize and refresh its mature cereal portfolio after years of volume pressure and the challenges of operating as a newly spun-off public company. Under Ferrero, the company can focus on long-term brand renovation and the shift toward on-the-go and protein-leaning breakfast formats.

The transaction gives WK Kellogg the financial backing and operational support to address its legacy cost structure and pursue brand growth that was difficult as a highly leveraged stand-alone company.

Deal Structure

Overview: Ferrero acquires WK Kellogg Co for \$3.1B in an all-cash transaction, representing \$23.00 per share and taking the company private.

WK Kellogg Advisors: Goldman Sachs & Co. LLC and Morgan Stanley & Co. LLC acted as financial advisors to WK Kellogg Co. Kirkland & Ellis LLP served as legal counsel. The W.K. Kellogg Foundation Trust and the Gund family (together holding ~21.7% of shares) entered voting agreements supporting the transaction.

Ferrero Advisors: Lazard acted as lead financial advisor to Ferrero, with BofA Securities serving as co-advisor. Davis Polk & Wardwell LLP acted as legal counsel.

Investor Profile

Ferrero Group: A global confectionery and packaged-food company with leading brands including Nutella, Kinder, Tic Tac, and Blue Bunny

- Over \$15 billion in annual revenue globally
- Operations across 170+ countries
- Portfolio spanning biscuits, ice cream, and snacking
- Recent North American acquisitions include Nestle, Keebler, and Power Crunch

Investment Post Vision

Ferrero views WK Kellogg as a strategic entry point into the U.S. breakfast aisle, a category it does not currently participate in but that offers strong daypart adjacency to its existing portfolio. Ferrero plans to leverage its supply chain, marketing capabilities, and track record of reshaping mature brands to modernize WK Kellogg's portfolio.

The acquisition enables Ferrero to expand its U.S. footprint significantly by adding six manufacturing plants, strengthening retailer relationships, and creating opportunities for cross-category innovation.

Analyst Statement

Ferrero's buyout of WK Kellogg adds to their history of partnering with confectionery and packaged-food companies and to their diverse portfolio of assets under their management. This transaction delivers immediate value to the shareholders of WK Kellogg, and future value as WK Kellogg will have access to Ferrero's strategies and management expertise. This investment plays to the larger theme of a growing packaged-foods market as demand in the US expands for packaged breakfast.

North America Breakfast Cereal Market Size, 2024-2034 (USD Billion)

